change in the treatment of notice-registered broker-dealers under the safeguards rule and the disposal rule.[381]

No comments were received regarding the treatment of notice-registered broker-dealers under the safeguards rule and the disposal rule. For the reasons outlined in the Proposing Release, the Commission is adopting the amendments as proposed.[382] Specifically, as proposed, the definition of a "covered institution" includes "any broker or dealer," without excluding notice-registered broker-dealers, thus ensuring that Regulation S-P's substituted compliance provisions still apply to notice-registered broker-dealers with respect to the safeguards rule.[383] In addition, the final amendments include the "covered institution" defined term within the disposal rule, while retaining the disposal rule's existing exclusion for notice-registered broker-dealers.[384]

C. Recordkeeping

We are adopting amendments to require covered institutions to make and maintain written records documenting compliance with the requirements of the safeguards rule and of the

---

381 This approach will provide notice-registered broker-dealers with the benefit of consistent regulatory treatment under Regulation S-P, without imposing any additional costs, while also maintaining the same investor protections that the customers of notice-registered broker-dealers currently receive. To the extent notice-registered broker-dealers opt to comply with Regulation S-P and the proposed safeguards rule rather than avail themselves of substituted compliance by complying with the CFTC's financial privacy rules, the benefits and costs of complying with the proposed rule would be the same as those for other broker-dealers. Notice-registered broker-dealers should not face additional costs under the final rule related to the disposal rule, as they would remain excluded from its scope. *See* Proposing Release.

382 *See* Proposing Release at Section II.C.4.

383 *See* proposed rule 248.30(e)(3); *see also* 17 CFR 248.2(c).

384 *See* proposed rule 248.30(c)(1). As we are not adopting the paragraph in proposed rule 248.30(a), we are similarly not adopting the proposed technical amendment to 17 CFR 248.2(c), which, as to the disposal rule, provides an exception from the substituted compliance regime afforded to notice-registered broker-dealers for Regulation S-P. *See* proposed rule 248.2(c); *see also* discussion on Scope of Information Protected *supra* Section II.B.1. This proposed technical amendment was intended to reflect the proposed shift in the disposal rule's citation from paragraph (b) of rule 248.30 to paragraph (c) of rule 248.30, to ensure continuity in the treatment of notice-registered broker-dealers under Regulation S-P. As the final amendments will not result in such a shift to the disposal rule's citation, this proposed technical amendment has been rendered unnecessary.

disposal rule as outlined in the table below (collectively, "recordkeeping requirements").[385] We are adopting these amendments substantially as proposed, but, in response to a comment, with modifications designed to provide additional specificity to the scope of certain of the recordkeeping requirements as discussed below. The table below reflects the time periods that covered institutions will be required to preserve these records, which are as proposed. These times vary by covered institution but are consistent with existing recordkeeping rules for these entities to the extent they have pre-existing recordkeeping obligations.

Table 1: Recordkeeping Requirements

Covered Institution	Rule	Retention Period
Registered Investment Companies	17 CFR 270.31a-1(b) 17 CFR 270.31a-2(a)	*Policies and Procedures.* A copy of policies and procedures in effect, or that at any time in the past six years were in effect, in an easily accessible place. *Other records.* Six years, the first two in an easily accessible place.
Unregistered Investment Companies[1]	17 CFR 248.30(c)	*Policies and Procedures.* A copy of policies and procedures in effect, or that at any time in the past six years were in effect, in an easily accessible place. *Other records.* Six years, the first two in an easily accessible place.
Registered Investment Advisers	17 CFR 275.204-2(a)	All records for five years, the first two in an easily accessible place.[2]
Broker-Dealers	17 CFR 240.17a-4(e)	All records for three years, in an easily accessible place.

[385] As discussed previously, pursuant to Regulation Crowdfunding, funding portals must comply with the requirements of Regulation S-P as they apply to brokers. Funding portals are not, however, subject to the recordkeeping obligations for brokers found under Rule 17a-4. *See* 17 CFR 240.17a-4; *see also supra* footnote 5 and accompanying text. Instead, funding portals are already obligated, pursuant to Rule 404 of Regulation Crowdfunding, to make and preserve all records required to demonstrate their compliance with, among other things, Regulation S-P for five years, the first two years in an easily accessible place. *See* 17 CFR 227.404(a)(5). While the final amendments do not modify funding portals' recordkeeping requirements to include the same enumerated list of obligations as those applied to brokers under the amendments to Rule 17a-4, funding portals generally should look to make and preserve the same scope of records in connection with demonstrating their compliance with this portion of Regulation S-P.

Transfer Agents	17 CFR 240.17ad-7(k)	All records for three years, in an easily accessible place.
Note: 1. Regulation S-P applies to investment companies as the term is defined in section 3 of the Investment Company Act (15 U.S.C. 80a-3), whether or not the investment company is registered with the Commission. *See* 17 CFR 248.3(r). Thus, a business development company, which is an investment company but is not required to register as such with the Commission, is subject to Regulation S-P. Similarly, employees' securities companies – including those that are not required to register under the Investment Company Act – are investment companies and are, therefore, subject to Regulation S-P. By contrast, issuers that are excluded from the definition of investment company – such as private funds that are able to rely on section 3(c)(1) or 3(c)(7) of the Investment Company Act – are not subject to Regulation S-P. 2. All books and records required to be made under the provision of 17 CFR 275.204-2(a) must be maintained and preserved in an easily accessible place for a period of not less than five years. 17 CFR 275.204-2(e).		

These recordkeeping requirements should aid covered institutions in periodically reassessing the effectiveness of their safeguarding and disposal programs by helping to ensure that those institutions have the records needed to perform that assessment. Additionally, maintenance of these records for sufficiently long periods of time and in accessible locations will help the Commission and its staff to monitor compliance with the requirements of the amended rules. We received one comment broadly in support of these recordkeeping requirements.[386]

The text of the proposed recordkeeping rules were worded differently for different covered institutions. For example, the proposed recordkeeping rule text for broker-dealers and transfer agents detailed the specific records to be kept whereas the proposed rule for advisers stated that advisers would be required to make and keep true, accurate and current a copy of the written records documenting compliance with the requirements of the safeguards and disposal rules.[387] The Commission sought comment on whether the detailed requirements proposed for broker-dealers and transfer agents should be included in the recordkeeping rules for other covered entities. While no commenter specifically responded to this request, one commenter did

386 ICI Comment Letter.

387 *See* proposed 17 CFR 240.17a-4, 17 CFR 240.17ad-7, and 17 CFR 275.204-2.

suggest that a clarification of the adviser recordkeeping rule could assist in understanding their obligations under the rule.[388] We are modifying the text of the proposed recordkeeping rules for registered investment advisers and registered and unregistered investment companies to provide in the final amendments the same detailed description as found in the rule text for broker-dealers and transfer agents. This should provide specificity as to what records are required to be kept under all of the recordkeeping rules.[389] In addition, and in a change from the proposal, we are modifying the final rules to require a covered institution to retain any written documentation from the Attorney General related to a delay in notice.[390] This should help ensure that a covered institution can justify a valid delay in sending notifications to affected individuals and aid the Commission's examination and oversight program.

The records that will be required under these amendments are:

- Written policies and procedures required to be adopted and implemented pursuant to final rule 248.30(a)(1), which requires policies and procedures to address administrative, technical, and physical safeguards for the protection of customer information;
- Written documentation of any detected unauthorized access to or use of customer information, as well as any response to, and recovery from such unauthorized access to or use of customer information required by final rule 248.30(a)(3);
- Written documentation of any investigation and determination made regarding whether notification to affected individuals is required pursuant to final rule

388 IAA Comment Letter.

389 *See* Proposing Release at section II.D.

390 *See e.g.*, final 17 CFR 240.17a-4(e)(14)(iii) and final rule 248.30(c)(iii).

248.30(a)(4), including the basis for any determination made, any written documentation from the Attorney General related to a delay in notice, as well as a copy of any notice transmitted following such determination;[391]

- Written policies and procedures required to be adopted and implemented pursuant to final rule 248.30(a)(5)(i), which requires policies and procedures to oversee, monitor, and conduct due diligence on service providers, including to ensure that the covered institution is notified when a breach in security has occurred at the service provider;
- Written documentation of any contract or agreement between a covered institution and a service provider entered into pursuant to final rule 248.30(a)(5); and
- Written policies and procedures required to be adopted and implemented pursuant to final rule 248.30(b)(2), which requires policies and procedures to address the proper disposal of consumer information and customer information.

The records that will be required include records of policies and procedures under the safeguards rule that address administrative, technical, and physical safeguards for the protection of customer information.[392] The requirements will also include records documenting, among other things: (i) a covered institution's assessments of the nature and scope of any incidents involving unauthorized access to or use of customer information; (ii) steps taken to contain and control such incidents; and (iii) a covered institution's notifications to affected individuals

---

391 Covered institutions are required to preserve a copy of any notice transmitted following the determination required under the final amendments, including those notices provided by the service provider to the covered institution's customers on behalf of the covered institution. *See e.g.*, final 17 CFR 270.31a-1(b)(13)(iii) (requiring registered investment companies to keep a copy of "*any notice* transmitted following such determination") (emphasis added); *see also supra* Section II.A.4.c.

392 *See, e.g.*, final 17 CFR 240.17a-4(e)(14)(i) and final 17 CFR 270.31a-1(b)(13)(i); *see also* final rule 248.30(a)(1).

consistent with the requirements of the final amendments as discussed above, or, where applicable, any determination that notification is not required after a reasonable investigation of the incident.[393] Records required to be made and maintained will also include records of those written policies and procedures associated with the service provider notification requirements of the final amendments as well as related records of written contracts and agreements between the covered institution and the service provider.[394]

The disposal rule, as amended, will require that every covered institution adopt and implement written policies and procedures that address the proper disposal of consumer information and customer information.[395] The only record required under the final amendments for purposes of the disposal rule is these written policies and procedures.[396]

D. Exception from Requirement to Deliver Annual Privacy Notice

Currently, Regulation S-P generally requires broker-dealers, investment companies, and registered investment advisers to provide customers with annual notices informing them about the institutions' privacy practices ("annual privacy notice").[397] The Commission is adopting as

---

393 *See*, *e.g.*, final 17 CFR 17a-4(e)(14)(ii) and (iii) and final 17 CFR 270.31a-1(b)(13)(ii) and (iii); *see also* final rule 248.30(a)(3)(i) through (iii).

394 *See*, *e.g.*, final 17 CFR 17a-4(e)(14)(iv) and (v) and final 17 CFR 270.31a-1(b)(13)(iv) and (v); *see also* final rule 248.30(a)(5)(i) through (ii).

395 *See* final rule 248.30(b)(2). While the disposal rule does not currently require covered institutions to adopt and implement written policies and procedures, those adopted pursuant to the current safeguards rule should already cover disposal. *See* Disposal Rule Adopting Release at text accompanying n.20 ("proper disposal policies and procedures are encompassed within, and should be a part of, the overall policies and procedures required under the safeguard rule."). Therefore, rule 248.30(b)(2) is intended primarily to seek sufficient documentation of policies and practices addressing the specific provisions of the disposal rule.

396 *See*, *e.g.*, final 17 CFR 17a-4(e)(14)(vi) and final 17 CFR 270.31a-1(b)(13)(vi); *see also* final rule 248.30(b)(2).

397 17 CFR 248.4; 248.5. "Annually" for these purposes is defined as at least once in any period of 12 consecutive months during which that relationship exists. Institutions are permitted to define the 12-consecutive-month period, but must apply it to the customer on a consistent basis. 17 CFR 248.5(a)(1). The institution does not need to provide an annual notice in addition to an initial notice in the same 12-month period.

proposed amendments to conform Regulation S-P to the requirements of the Fixing America's Surface Transportation Act ("FAST Act"),[398] which provides an exception to the annual privacy notice required by Regulation S-P, provided certain requirements are met. As proposed, we are amending Regulation S-P to include an exception to the annual privacy notice requirement if the institution (1) only provides non-public personal information to non-affiliated third parties when an exception to third-party opt-out applies and (2) the institution has not changed its policies and practices with regard to disclosing non-public personal information from its most recent disclosure sent to customers.[399] The amendments also, as proposed, provide the timing for when an institution must resume providing annual privacy notices in the event that the institution changes its policies and practices such that the exception no longer applies. We received one comment supporting the proposed exception and timing requirements.[400]

We are adopting as proposed amendments to the annual notice provision requirement of Regulation S-P to include the exception to the annual notice delivery added by the statutory exception Congress enacted in the FAST Act. The statutory exception states that a financial institution that meets the requirements for the annual privacy notice exception will not be required to provide annual privacy notices "until such time" as that financial institution fails to comply with the conditions to the exception, but does not specify a date by which the annual privacy notice delivery must resume.[401] The amended timing requirements are designed to be consistent with the existing timing requirements for privacy notice delivery in Regulation S-P. Specifically, if the change in policies and practices will also result in the institution being

---

398 Pub. L. 114-94, Sec. 75001, 129 Stat. 1312 (2015) (adding section 503(f) to the GLBA, codified at 15 U.S.C. 6803(f)).

399 *See* final 17 CFR 248.5(e)(1).

400 ICI Comment Letter.

401 *See supra* footnote 398.

required to send a revised privacy notice under the current requirements, the revised notice will be treated as an initial notice for the purpose of the timing requirement and the institution will be required to resume notices at the same time it otherwise provides annual privacy notices.[402] If a revised notice is not required, the institution will be required to resume providing annual privacy notices within 100 days of the change. The amendments allow institutions to preserve their existing approach to selecting a delivery date for annual privacy notices, thereby avoiding the potential burdens of determining delivery dates based on a new approach and any 100-day period will accommodate the institution delivering the privacy notice alongside any quarterly reporting to customers. The amendments also are intended to be consistent with existing privacy notice delivery requirements of the CFTC, CFPB, and FTC.[403]

E. Existing Staff No-Action Letters and Other Staff Statements

As stated in the Proposing Release, certain staff letters and other staff statements addressing Regulation S-P and other matters covered by the final amendments may be withdrawn or rescinded in connection with this adoption. Upon the compliance date of these rules, staff letters and other staff statements, or portions thereof, will be withdrawn or rescinded to the extent that they are moot, superseded, or otherwise inconsistent with the rules. This may include the letters and statements below. To the extent any staff statement is inconsistent or conflicts with the requirements of the rules, even if not specifically identified below, that statement is superseded.

---

402 *See* 17 CFR 248.8.

403 *See* 17 CFR 160.5(D) (CFTC); 12 CFR 1016.5(e)(2) (CFPB); 16 CFR 313.5(e)(2) (FTC). *See also* CFTC, Privacy of Consumer Financial Information – Amendment to Conform Regulations to the Fixing America's Surface Transportation Act, 83 FR 63450 (Dec. 10, 2018), at n.17; CFPB, Amendment to the Annual Privacy Notice Requirement Under the Gramm-Leach-Bliley Act (Regulation P) 83 FR 40945 (Aug. 17, 2018); FTC, Privacy of Consumer Financial Information Rule Under the Gramm-Leach-Bliley Act, 84 FR 13150 (Apr. 4, 2019).

Table 2: Letters and Statements

Name of Letter or Statement	Date Issued
Staff Responses to Questions about Regulation S-P	Jan. 23, 2003
Certain Disclosures of Information to the CFP Board	Mar. 11, 2011; Dec. 11, 2014
Investment Adviser and Broker-Dealer Compliance Issues Related to Regulation S-P – Privacy Notices and Safeguard Policies	Apr. 16, 2019

F. Compliance Period

The Commission is providing an 18-month compliance period after the date of publication in the Federal Register for larger entities, and a 24-month compliance period after the date of publication in the Federal Register for smaller entities. Table 3 below outlines which entities will be considered "larger entities" for these purposes. Smaller entities will be those covered institutions that do not meet these standards. The Commission generally has approved similar tiered compliance dates with respect to smaller versus larger entities in the past and, in our experience, these thresholds are a reasonable means of distinguishing larger and smaller entities for purposes of tiered compliance dates for rules affecting these entities.[404]

Table 3: Designation of Larger Entities

Entity	Qualification to be Considered a "Larger Entity"
Investment companies together with other investment companies in the same group of related investment companies[1]	Net assets of $1 billion or more as of the end of the most recent fiscal year

[404] *See*, *e.g.*, Investment Company Names, Investment Company Act Release No. 35000 (Sept. 20, 2023) [88 FR 70436 (Oct. 27, 2023)]; Investment Company Reporting Modernization, Investment Company Act Release No. 32314 (Oct. 13, 2016) [81 FR 81870 (Nov. 18, 2016)]; Investment Company Liquidity Risk Management Programs, Investment Company Act Release No. 32315 (Oct. 13, 2016) [81 FR 82142 (Nov. 18, 2016)]; Inline XBRL Filing of Tagged Data, Securities Act Release No. 10514 (June 28, 2018) [83 FR 40846 (Sept. 17, 2018)]; and Private Fund Advisers; Documentation of Registered Investment Adviser Compliance Reviews, Investment Advisers Act Release No. 6383 (Aug. 23, 2023) [88 FR 63206 (Sept. 14, 2023)].

Registered investment advisers[2]	$1.5 billion or more in assets under management
Broker-dealers[3]	All broker-dealers that are not small entities under the Securities Exchange Act for purposes of the Regulatory Flexibility Act
Transfer agents[4]	All transfer agents that are not small entities under the Securities Exchange Act for purposes of the Regulatory Flexibility Act

Note:

1. "Group of related investment companies" is as defined in 17 CFR 270.0-10. We estimate that, as of September 2023, 77% of registered investment companies would be considered to be larger entities. This estimate is based on data reported in response to Items B.5, C.19, and F.11 on Form N-CEN.

2. We estimate that, as of September 2023, 23% of registered investment advisers would be considered to be larger registered investment advisers. This estimate is based on data reported in response to Items 2.A and 5.F.2.(c) on Form ADV.

3. A broker or dealer is a small entity if it: (i) had total capital of less than $500,000 on the date in its prior fiscal year as of which its audited financial statements were prepared or, if not required to file audited financial statements, on the last business day of its prior fiscal year; and (ii) is not affiliated with any person that is not a small entity. This threshold was chosen to include all broker-dealers who do not fall within the definition of a small entity under the Regulatory Flexibility Act (5 U.S.C. 553). Based upon FOCUS filings for the third quarter of 2023, we estimate approximately 77% of broker-dealers, not including funding portals, would be considered larger entities. Based upon staff analysis and review of public filings, we estimate approximately 3% of funding portals would be considered larger entities.

4. A transfer agent is a small entity if it: (i) received less than 500 items for transfer and less than 500 items for processing during the preceding six months; (ii) transferred items only of issuers that are small entities; (iii) maintained master shareholder files that in the aggregate contained less than 1,000 shareholder accounts or was the named transfer agent for less than 1,000 shareholder accounts at all times during the preceding fiscal year; and (iv) is not affiliated with any person that is not a small entity. 17 CFR 240.0-10. This threshold was chosen to include all transfer agents who do not fall within the definition of a small entity under the Regulatory Flexibility Act. Based on the number of transfer agents that reported a value of fewer than 1,000 for items 4(a) and 5(a) on Form TA-2 filed with the Commission as of September 30, 2023, we estimate approximately 132 transfer agents may be considered small entities, of 315 total registered transfer agents. *See infra* section VI.

We proposed a 12-month transition period from the effective date for all covered institutions, regardless of asset size, and we solicited comment on whether the compliance period should be shorter or longer, and whether it should be the same for all covered institutions. Commenters that addressed this aspect of the proposal urged the Commission to provide additional time, generally suggesting a two-year or three-year period to provide time for covered institutions to prepare to comply with the rule's requirements.[405] Commenters suggested that the

[405] *See*, *e.g.*, SIFMA Comment Letter 2; Computershare Comment Letter; ICI Comment Letter 1; Federated Comment Letter; Google Comment Letter.